

Mastering Technical Indicators

Advanced mathematical tools to predict price action, confirm trends, and optimize entries.

1. Trend & Moving Average Indicators

Simple Moving Average (SMA): Calculates the average price over a specific number of periods (e.g., 50-day, 200-day). Used to identify the overall, smoothed out macro trend direction. The 200-SMA is considered the "line in the sand" for bull/bear markets.

Exponential Moving Average (EMA): Similar to the SMA, but places a progressively greater weight on the most recent data points. It reacts much faster to price changes, making it ideal for swing traders (e.g., 9-EMA or 21-EMA).

MACD (Moving Average Convergence Divergence): A trend-following momentum indicator showing the relationship between two moving averages (usually the 12-EMA minus the 26-EMA). The MACD line crossing above the Signal line generates a powerful buy signal.

MACD Histogram: Plots the distance between the MACD and its signal line. When the histogram is expanding, momentum is increasing. When it shrinks, a reversal is imminent.

Parabolic SAR: Places dots above or below the price action to determine short-term momentum and identify potential stop and reverse points. Best used in highly trending markets.

2. Momentum & Oscillator Indicators

Relative Strength Index (RSI): An oscillator ranging from 0 to 100. Measures the speed and change of price movements. A reading above 70 indicates a stock is overbought (prime for a pullback), while below 30 indicates it is oversold (prime for a bounce).

RSI Divergence: When the stock makes a higher high, but the RSI makes a lower high. This is a massive warning sign that bullish momentum is secretly fading despite rising prices.

Stochastic Oscillator: Compares a particular closing price to a range of its prices over a certain period. Much more sensitive than RSI. Generates overbought signals above 80 and oversold signals below 20.

Commodity Channel Index (CCI): Measures a security's variation from its statistical mean over time. High positive values indicate prices are unusually high compared to the average, indicating overbought conditions.

3. Volatility Indicators

Bollinger Bands: Consists of a 20-SMA middle band and upper/lower bands plotted two standard deviations away. 95% of price action stays inside the bands.

Bollinger Squeeze: When volatility drops, the bands squeeze tightly together. This is the calm before the storm—expect a massive breakout soon. Do not trade the squeeze, trade the breakout!

Average True Range (ATR): Measures absolute market volatility by decomposing the entire range of an asset price for that period. It does not indicate price direction, only the intensity of movement. Professional traders use 1.5x ATR to set their stop losses.

Keltner Channels: Similar to Bollinger Bands, but uses ATR to set the channel width instead of standard deviation. Generates smoother signals with fewer false breakouts.

4. Volume & Money Flow Indicators

Volume Weighted Average Price (VWAP): The true average price a stock has traded at throughout the day, strictly based on both volume and price. It is the ultimate benchmark used by institutional algorithms. Day traders buy when price pulls back to VWAP support.

On-Balance Volume (OBV): A cumulative total of buying and selling volume. If price is rising but OBV is falling, it means big money is secretly selling into the rally. A deadly bearish divergence.

Chaikin Money Flow (CMF): Measures the amount of Money Flow Volume over a specific period. A CMF consistently above zero suggests heavy institutional buying pressure, while below zero suggests institutional distribution (selling).

Accumulation/Distribution Line (A/D): Similar to OBV, but also factors in where the stock closes relative to its daily range. A stock closing at its high on high volume heavily spikes the A/D line.